

in the above example is 3.50 and we'll use the breakout price (25.13) as the current price. The 3.50 drop is a decline of 14% ($100 \times 3.50/25.13$). Is 14% reasonable?

In bull markets, according to [Table 15.3](#), 53% will fail to see price drop more than 15% (the closest to 14%). About half the trades will see price drop more than 15%, and half won't make it that far.

Warning and sell lines. As you view your stock charts periodically, some stocks will follow trendlines upward. These are the ones to monitor closely. Occasionally, one will begin a rapid climb on high volume and enter the bump phase of a BARR top.

By definition, a BARR is only valid when the bump height, as measured from the highest high to the trendline, is at least twice the lead-in height. Two lines parallel to the trendline assist in that determination. The first line, called the warning line, is lead-in height above the trendline. A second trendline, parallel to the first two and lead-in height above the warning line, is the sell line.

The warning line serves as a signal that a BARR may be forming. Once price moves solidly above the line, consider doing any fundamental or technical research on the stock to prepare for a sale.

By the time price touches the sell line, you should have a firm grasp of the company, industry, and market outlook. The sell line is not an automatic sell trigger, but it does confirm that a BARR is present. A sell line touch indicates that the momentum players have the upper hand. The game could continue for several weeks or months before the downhill-run phase sets in, so do not be in too much of a rush to sell. Since most bumps (peaks) appear rounded, there is ample time to sell the stock. By waiting, you are giving the momentum players additional time to push the stock even higher.

However, there are situations when you will want to sell quickly. If the company, industry, or market look dicey, then perhaps it is time to take profits. You might not be selling at the exact top, but you never go broke taking a profit. Also, if the bump does not appear rounded, then consider selling. A quick decline often follows a quick rise.

[Figure 15.5](#) shows the BARR trendline and the parallel warning and sell lines, each line lead-in height from the other. The chart is on a weekly scale,